

SUMMARY

Introduction

The agriculture products have been a promising contributing factor to the National Gross Domestic Product (GDP). The report aims to find out how imports and exports of agriculture products have varied over a ten-year period, give insights, and provide possible caveats.

Methodology

The dataset used was collected from the Zambia Statistics Agency (ZamStats) and covers a ten-year period from 2013 to 2022. The analysis focuses on the yearly aggregate amounts in addition to the top ten imported and exported products.

Findings and Conclusion

High fertilizer imports indicate that Zambia's agricultural productivity remains heavily tied to foreign-sourced chemical inputs. Sesame seeds and cashew nuts are key export drivers, fuelled by the rapid expansion of industrial manufacturing in Asian markets. Soybeans, and cotton provide critical export diversification, though their value remains tied to volatile global commodity price cycles. Structural imbalance where top imports are mostly refined staples, while the top 10 exports are predominantly raw, unprocessed goods. During the 2020-2021 pandemic caused high freight costs and shipping delays resulting in a "value-over-volume" trend, where the total amount spent on imports rose significantly even if the physical quantity remained stable. The local currency depreciated against the dollar between 2014 and 2022. This often leads to a widening Trade Deficit as the cost of importing essential agricultural inputs such as fertilizers, and processed foods becomes significantly more expensive.

Agricultural diversification is emerging through sugar and tobacco yet remains secondary to the overwhelming extractive mineral exports.

Recommendations

First, the government should lower the price of fertilizer to allow more farmers to grow the top ten outlined cash crops. Second, implement initiatives that teach farmers how to harvest cash crops to ensure maximum harvest. Third, provide machinery that can be used to scale cash crops like maize and tobacco to farmers that would not afford. Fourth, the government should increase import tariffs to discourage mass importation. Last, tightening border security to prevent smuggling of agriculture products into or out of the country. Agricultural diversification is emerging through sugar and tobacco yet remains secondary to the overwhelming extractive mineral exports. Improving the trade balance requires transitioning from bulk raw exports to the production and shipment of high-value, processed agricultural products.

Caveats

First and foremost, the insights given are solely on the data set and might not reflect the trend in the future (2023 to the present). Second, only the top ten products imported and exported were considered which could show a bias towards the overall insights given above. last, the smuggling that may have been done throughout the ten-year period is not accounted for. Therefore, the total import and export amount could be more than what is highlighted above.